The Park-Owned Rental Valuation

Property: _____ **Date:** _____

Part D: Prove the numbers.

Takes in: cabin and park-model inventory.

Hands to: AS-08R (rental expenses), AS-07 (structure the offer).

Cabins, park models, and glamping units are hotel rooms that happen to sit on your dirt. Value them like a depreciating business, not like land. The site is the asset.

Built for RV park-owned rentals. For MHC homes, use its sibling: POH/TOH Split Valuation Worksheet (AS-09).

1. The unit ledger (one row per unit)

Unit	Type / yr	Grade	Title / lien	Rent / mo	Occ	Deferred repairs	Val low	Val base	Val high

Grade: A solid, B serviceable, C rough. Confirm title and lien status on every unit with your attorney before you pay for one.

2. Two views of value

In-place income value = (annual structure rent minus annual structure expenses) / your required return. Liquidation value = what a cash buyer pays today, minus removal cost for units you would take. For risky units, pay no more than the lower of the two.

In-place income value ($): _____ **Liquidation value ($):** _____

3. Separate the two incomes

Line	Your number
Total monthly rent collected	
Less: site-rent portion (what the pad alone commands)	
Equals: structure-rent portion	
Structure expenses (turnover, repairs, unit insurance)	
Net structure income	

Structure rent buys a depreciating box. Site rent buys dirt. Never let one subsidize the other on paper.

4. The policy decision

- ☐ OWN NONE: convert rentals to tenant-owned or remove them. Price the removal cost of every unit you would take.
- ☐ OWN SOME: list exactly which units and why they earn their keep. Everything else prices as removal.
- ☐ CLEAN-OUT OPTION: total removal and disposal cost for all units you would not keep, in the offer as a credit.

The core rule: the site is the asset, the structure is a separate depreciating business. Pay for dirt like dirt and boxes like boxes.

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Worked example: Pine Hollow, four units

Fictional example. Seeds from the Pine Hollow running case. Site-rent portion ($200/mo per pad x 4 pads x 12 = $9,600 a year) stays with the dirt and never enters the box math. The table below uses structure-rent only.

Unit	Rent/mo	Occ	Annual rent	Annual expenses	Net
Cabin A (2021, grade A)	$1,200	60%	$8,640	$2,400	$6,240
Cabin B (2015, grade B)	$950	55%	$6,270	$2,100	$4,170
Park model C (2018, grade B)	$800	65%	$6,240	$1,800	$4,440
Park model D (2010, grade C)	$600	45%	$3,240	$2,200	$1,040
TOTAL			$24,390	$8,500	$15,890

Annual rent = rent per month x 12 x occupancy (example: 1,200 x 12 x 0.60 = $8,640). Net = annual rent minus annual expenses.

In-place income value = 15,890 / 0.12 = $132,417. The 12% required return on depreciating boxes sits above the deal cap rate.

Liquidation value = 28,000 + 18,000 + 20,000 + 2,000 = $68,000. Unit D would be taken, so it prices at $6,000 value minus $4,000 removal.

The buyer pays the lower of the two: $68,000. The seller asked $130,000 for the units. The $62,000 gap (130,000 - 68,000) is what pricing boxes like dirt costs.

Priced at the 8% deal cap like land, the boxes would be $304,875 (24,390 / 0.08). Boxes are not land.

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Doctrine

Doctrine: cabins, park models, and glamping units are hotel rooms that happen to sit on your dirt, and hotel rooms wear out. The belief this shatters: that rental income from park-owned units deserves the same cap rate as lot rent. It does not. Lot rent is forever income on land you own. Structure rent is income from a box that depreciates, floods, and rots. The one rule: value the structure separately and pay no more than the lower of its in-place income value and its liquidation value. When a seller prices the cabins at the deal cap rate, they are selling you depreciating boxes at land prices.

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